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RE: AERI-2024-0441

Dear Prof. Ganong:

Thank you for submitting your paper to the *American Economic Review: Insights*. I have now heard back from four knowledgeable reviewers, who are overall very enthusiastic about your paper. One reviewer recommends outright acceptance and two others recommend conditional acceptance. While the fourth recommends rejection, s/he is on the fence regarding that recommendation. I have read the manuscript closely myself and consulted with another co-editor, whose comments I have also incorporated into this decision letter. I am pleased to offer you a conditional acceptance.

Below, I outline the conditions necessary for the paper to be accepted. While I will not reiterate every comment of the reviewers, it is important to address the feedback provided unless I explicitly say this is not necessary. If you believe that any of my or the reviewers' comments are steering the paper in the wrong direction, please do not hesitate to discuss your concerns with me before revising your paper.

Overall, all of the reviewer comments seem highly relevant, and you should attempt to address them in a revised version. The only exception is R3's comment that suggests discussing why this literature has not noticed publication bias before. You may of course add such a discussion if you find it beneficial, but I don't view it as necessary. Whether evidence of publication bias would also appear in the sample used by Schmieder and von Wachter (2017) also doesn't strike me as adding much to the paper.

The most crucial shortcoming to address is that Reviewers 2 and 3 both question your interpretation of the "macro versus micro elasticity" analysis. In general, the literature has discussed several reasons why the macro elasticity may differ from the micro elasticity: congestion effects (discussed in the paper), changes in job search intensity that affect vacancy posting (discussed in the paper), changes in reservation wages that affect vacancy posting (not discussed), and changes in aggregate demand that affect vacancy posting (not discussed). The paper cites Hagedorn et al. for making the point about reduced search intensity lowering vacancy posting, but this paper is about the reservation wage channel. So on multiple accounts the discussion of the literature is imprecise.

R2's suggestion is on the right track but also imprecise, at least without carefully studying the 14 articles tagged as having macro effects in detail. If the comparison group is another set of workers in the same labor market, then any macro effects that go through vacancy creation are "differenced out". I think this is how R2 rules out as informative for the macro effect the research designs labeled by the paper as (ii) and (iii). But then the analysis should be re-done excluding this group of papers. Conversely, I don't see why the type (i) analysis comparing to previous cohorts would not incorporate all macro effects, and not just spillovers.

I couldn't easily tell which papers were coded which way and so how many type (i) papers there were. There is also the caveat noted by R2 that using a previous cohort as the comparison group requires possibly too strong assumptions about the exogeneity of the timing of the change in policy.

This is not my area of expertise, so I will not dictate what you must do about the macro-versus-micro issues raised by the reviewers. But please consider the reviewer feedback carefully and stick to what you can reasonably infer from the type and quality of relevant estimates available to you (e.g., exact setting, sample size, etc).

I would also like to amplify R3's comment on providing a firmer takeaway. The paper should get cited both for providing evidence on publication bias and for the best bias-adjusted estimates of the elasticities. The takeaway numbers for the RR and PBD elasticity should be in the introduction.

Additionally, you need to reorganize the paper a bit to ensure that it complies with *AER: Insight*'s self-contained policy. We allow only brief references to appendix materials (a good rule of thumb is a sentence per appendix exhibit), and the discussion of Table B.4 violates this. Given the centrality of your publication bias correction for the paper's contribution, Table B.4 should be in the main body of the paper. By contrast, Figure 3 strikes me as less critical.

More minor comments:

a. Ideally section 2 would start with basic (and brief) variable definitions, e.g., a typical UI system has two key parameters for an individual, how long he/she can collect benefits (PBD) and the ratio of benefits to the individual's previous wage (RR). The difference between covered and uncovered unemployment could be promoted from appendix C.
b. Not enough detail is provided in the main body of the paper about the variables "aggregate variation", "relative unemployment", "labor tax wedge", and "nonemployment as outcome" in Table 2. Please add explanations of these variables to the table notes so the reader doesn't need to go to the Online Appendix to understand them.

c. The legend in Figure 2 is not very black-and-white friendly because it's not clear which legend item corresponds to the solid versus dashed lines. Please fix.
d. "the latent distribution of estimates has fatter tails than would be implied by a normal distribution" (pg. 7) How do we know this? Please clarify.
e. Please define p(t*) explicitly after it first appears (pg. 7).
f. Typo in abstract: "by factor of two".

We typically request a turnaround of 8 weeks from notice of a conditional acceptance to the submission of the final manuscript (i.e., November 11, 2024 in your case). If you feel you will need more time, please let me know as soon as possible.

Finally, I would like to underscore that our incentives are very much aligned at this point, as we both would like to see this paper published, read, and cited. I do not plan on sending it back to the reviewers, but please prepare a reply document summarizing the changes you have made in response to each of my comments and, where applicable, the reviewers' comments. I hope that the reviewer comments and my instructions are sufficiently clear. If you'd like to consult with me on any aspects of the requested changes, please do not hesitate to reach out to me directly.

Sincerely,

Tatyana Deryugina

Coeditor
AER: Insights